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APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY
Fourth Semester B.Tech Degree Examination July 2021 (2019 Scheme)

Course Code: HUT200
Course Name: PROFESSIONAL ETHICS

Max. Marks: 100 Duration: 3 Hours

PART A

Answer all questions. Each question carries 3 marks Marks

1. What are the two approaches to Engineering ethics? (3)

There are conventionally two approaches in the study of ethics:

Micro-ethics - deals with decisions and problems of individuals, professionals, and companies. This approach addresses typical, everyday problems that engineers face in their professional life. In other words, micro-ethics describe ethical issues that may affect an engineer's professional and personal life.

Macro-ethics - deals with the societal problems on a regional/national level. This approach deals with all societal problems that engineers encounter during their careers. In other words, macro-ethics discusses ethical issues concerning all societal problems that engineers might encounter. For example, global issues, collective responsibilities of groups such as professional societies and consumer groups.

2. List two methods of developing self-confidence.(3)

The factors that shape self-confidence in a person are:

- 1. Heredity (attitudes of parents) and family environment (elders),
- 2. Friendship (influence of friends/colleagues),
- 3. Influence of superiors/role models, and
- 4. Training in the organization (e.g., training by Technical Evangelists at Infosys Technologies).

The following methodologies are effective in developing self-confidence in a person:

- Encouraging SWOT analysis. By evaluating their strength and weakness, they can anticipate and be prepared to face the results.
- Training to evaluate risks and face them (self-acceptance).
- Self-talk. It is conditioning the mind for preparing the self to act, without any doubt on his capabilities. This makes one accepts himself while still striving for improvement.
- Study and group discussion, on the history of leaders and innovators (e.g., Sam Walton of Wal-Mart, USA).

3. What are the situations when moral dilemmas arise? (3)

Dilemmas are situations in which moral reasons come into conflict, or in which the application of moral values are problems, and one is not clear of the immediate choice or solution of the problems.

There are some difficulties in arriving at the solution to the problems, in dilemma. The three complex situations leading to moral dilemmas are:

- The problem of vagueness: One is unable to distinguish between good and bad (right or wrong) principles. Good means an action that is obligatory. For example, code of ethics specifies that one should obey the laws and follow standards. Refuse bribe or accept the gift, and maintain confidentiality.
- The problem of conflicting reasons: One is unable to choose between two good moral solutions. One has to fix priority, through knowledge or a value system.
- The problem of disagreement: There may be two or more solutions and none of them are mandatory. These solutions may be better or worse in some respects but not in all aspects. One has to interpret, apply different moral reasons, and analyze and rank the decisions. Select the best suitable, under the existing and the most probable conditions.

4. What are the types of ethics depending upon the morality of humanity? (3)

Ethics or **moral philosophy** is a branch of philosophy that "involves systematizing, defending, and recommending concepts of right and wrong behavior". The field of ethics, along with aesthetics, concerns matters of value; these fields comprise the branch of philosophy called axiology.

Ethics seeks to resolve questions of human morality by defining concepts such as good and evil, right and wrong, virtue and vice, justice and crime. As a field of intellectual inquiry, moral philosophy is related to the fields of moral psychology, descriptive ethics, and value theory.

Three major areas of study within ethics recognized today are:

- Meta-ethics, concerning the theoretical meaning and reference of moral propositions, and how their truth values (if any) can be determined;
- Normative ethics, concerning the practical means of determining a moral course of action;
- Applied ethics, concerning what a person is obligated (or permitted) to do in a specific situation or a particular domain of action.

5. Give three conditions, essential for valid informed consent.? (3)

Informed consent is a process with respect of which the patient learns about an actual procedure of the medical and surgical intervention as this includes everything such as clinical trials, and here the patient understands the risk and benefits of the procedure of the treatment. Valid informed consent for research must include three major elements: (1) disclosure of information, (2) competency of the patient (or surrogate) to make a decision, and (3) voluntary nature of the decision

6. What are the advantages of codes of ethics? (3)

The 'codes of ethics' exhibit, rights, duties, and obligations of the members of a profession and a professional society.

- Inspiration and guidance. The codes express the collective commitment of the profession to ethical conduct and public good and thus inspire the individuals. They identify primary responsibilities and provide statements and guidelines on interpretations for the professionals and the professional societies.
- Support to engineers. The codes give positive support to professionals for taking stands on moral issues. Further, they serve as potential legal support to discharge professional obligations.
- Deterrence (discourage to act immorally) and discipline (regulate to act morally). The codes serve as the basis for investigating unethical actions. The professional societies

sometimes revoke membership or suspend/expel the members, when proved to have acted unethically. This sanction along with loss of respect from the colleagues and the society are bound to act as deterrent.

- Education and mutual understanding. Codes are used to prompt discussion and reflection on moral issues. They develop a shared understanding by the professionals, public, and the government on the moral responsibilities of the engineers. The Board of Review of the Professional societies encourage moral discussion for educational purposes.
- Create a good public image. The codes present positive image of the committed profession to the public, help the engineers to serve the public effectively. They promote more of self regulation and lessen the government regulations. This is bound to raise the reputation of the profession and the organization, in establishing the trust of the public.
- Protect the status quo. They create minimum level of ethical conduct and promotes agreement within the profession. Primary obligation namely the safety, health, and welfare of the public, declared by the codes serves and protects the public.
- Promotes business interests. The codes offer inspiration to the entrepreneurs, establish shared standards, healthy competition, and maximize profit to investors, employees, and consumers.

7. Differentiate between copyright and trademark. (3)

A copyright is used to prevent others from using your creation without consent. A trademark is issued to help distinguish and differentiate your brand, mark, or logo from others. Copyright protects original work, whereas a trademark protects items that distinguish or identify a particular business from another. Copyright is generated automatically upon the creation of original work, whereas a trademark is established through the common use of a mark in the course of business.

8. What is meant by ‘Occupational Crime’? (3)

Occupational crime is crime that is committed through opportunity created in the course of legal occupation. Thefts of company property, vandalism, the misuse of information and many other activities come under the rubric of occupational crime. The concept of occupational crime - as one of the principal forms of white collar crime - has been quite familiar and widely invoked since the publication of Clinard and Quinney's influential Criminal Behavior Systems: A Typology. More recently, however, the term occupational crime has been applied to activities

quite removed from the original meaning of white collar crime, and it has been used interchangeably with such terms as occupational deviance and workplace crime. In the interest of greater conceptual clarity within the field of white collar crime the argument is made here for restricting the term 'occupational crime' to illegal and unethical activities committed for individual financial gain - or to avoid financial loss - in the context of a legitimate occupation. The term 'occupational deviance' is better reserved for deviation from occupational norms (e.g. drinking on the job; sexual harassment), and the term 'workplace crime' is better reserved for conventional forms of crime committed in the workplace (e.g. rape; assault). The conceptual conflation of fundamentally dissimilar activities hinders theoretical, empirical, and policy-related progress in the field of white-collar crime studies.

9. List any three characteristics of Business Ethics. (3)

- **Defines Code Of Conduct** - Business ethics defines the code of conduct for every business. It clearly defines the activities that business should adopt in its code of conduct. Ethics states what is right or what is wrong for a business and what a business should do or what it should not do for its growth and welfare of society. It provides basic framework for doing a business. Ethics defines social, cultural, economic, legal and other limits of business and they should operate within these limits.
- **Protects Social Group** - Business ethics provide protection to different social groups associated with business. Implementation of ethics in business ensures that it does not operate only for its growth but should also consider the welfare of social group. Needs and rights of customers, employees, government, shareholders, creditors, small businessmen etc. are given equal importance along with their own goals by business. Business adopting and following ethics therefore gives protection to all social groups.
- **Control Business Malpractices** - Business ethics monitors and keeps a check on any malpractices in business. It ensures business performs all activities ethically without getting involved in any unfair trade practices. Business ethics avoids adoption of unfair trade activities like adulteration, black marketing, frauds and cheating in product, improper weights and measures etc. Controlling of all these malpractices by ethics helps in maintaining the legality of the business.

10. List any three ethical responsibilities of consulting engineer. (3)

The consulting engineers have ethical responsibilities different from the salaried engineers, as follows:

Advertising:-

The consulting engineers are directly responsible for advertising their services, even if they employ other consultants to assist them. But in many organizations, this responsibility is with the advertising executives and the personnel department. They are allowed to advertise but to avoid deceptive ones. Deceptive advertising such as the following are prohibited:

(a) By white lies.

(b) Half-truth

e.g., a product has actually been tested as prototype, but it was claimed to have been already introduced in the market. An architect shows the photograph of the completed building with flowering trees around but actually the foundation of the building has been completed and there is no real garden.

(c) Exaggerated claims.

The consultant might have played a small role in a well-known project. But they could claim to have played a major role.

(d) Making false suggestions.

The reduction in cost might have been achieved along with the reduction in strength, but the strength details are hidden.

(e) Through vague wordings or slogans.

Competitive Bidding:-

It means offering a price, and get something in return for the service offered. The organizations have a pool of engineers. The expertise can be shared and the bidding is made more realistic. But the individual consultants have to develop creative designs and build their reputation steadily and carefully, over a period of time. The clients will have to choose between the reputed organizations and proven qualifications of the company and the expertise of the consultants. Although competent, the younger consultants are thus slightly at a disadvantage.

Contingency Fee :-

This is the fee or commission paid to the consultant, when one is successful in saving the expenses for the client. A sense of honesty and fairness is required in fixing this fee. The NSPE Code III 6 (a) says that the engineers shall not propose or accept a commission on a contingent basis where their judgment may be compromised. The fee may be either as an agreed amount or a fixed percentage of the savings realized. But in the contingency fee-agreements, the judgment

of the consultant may be biased. The consultant may be tempted to specify inferior materials or design methods to cut the construction cost. This fee may motivate the consultants to effect saving in the costs to the clients, through reasonably moral and technological means.

PART B

Answer any one full question from each module. Each question carries 14 marks

Module 1

11. Explain about academic integrity and write the five pillars of academic integrity.(14)

Academic integrity is the basis of the university's goal to enable an exchange of ideas and develop new knowledge, and it requires that individual scholars work with and trust one another. Avoiding academically dishonest behavior (plagiarism, fabrication, and falsification) is often cited as the way to promote academic integrity. But when the focus is on negative behaviors—where integrity is absent—conversations about integrity are centered on suspicion rather than trust, respect, and growth.

The International Center for Academic Integrity (ICAI) has identified five pillars of academic integrity to generate positive conversations about integrity.

Pillar 1

Honesty is sincerity. All other pillars of academic integrity have some basis in honesty. Honest individuals take stock of individual abilities and represent their effort fairly.

Pillar 2

Trust in other people and in your community eases working relationships. Trust is established in a system where all members are doing their best work, where structures and policies are fair and all will be treated fairly.

Pillar 3

Fairness goes hand in hand with trust. Every individual should believe that they will be treated fairly and judged by the same standard as all others in the community. For example, you can trust that your professors will evaluate all work fairly and not favor one person over another. The best work comes out of a fair system.

Pillar 4

Respect allows for individual points of view and opinions to be shared. Students show respect by “listening to other points of view, being prepared,...meeting... deadlines, and performing to the best of their ability.” (Fundamental Values 8) Instructors show respect by listening to students’ ideas and “providing full and honest feedback.”

Pillar 5

Responsibility means acknowledging your agency and accountability in daily actions and in your work. Everyone is personally invested in performing their work with integrity and encourages others to act with integrity too. Academic integrity starts with individuals and positively influences the entire community.

12. Explain the core elements of a strong work ethics. (14)

Work ethics is defined as a set of attitudes concerned with the value of work, which forms the motivational orientation. The ‘work ethics’ is aimed at ensuring the economy (get job, create wealth, earn salary), productivity (wealth, profit), safety (in workplace), health and hygiene (working conditions), privacy (raise family), security (permanence against contractual, pension, and retirement benefits), cultural and social development (leisure, hobby, and happiness), welfare (social work), environment (anti-pollution activities), and offer opportunities for all, according to their abilities, but without discrimination.

- The people desire to be recognized as individuals and treated with dignity, as living human beings. Work is intrinsically valuable so far as it is enjoyable or meaningful in allowing personal expression and self-fulfillment. Meaningful work is worth doing for the sense of personal identity and the self-esteem it holds.
- Economic independence: Work is the major instrumental good in life. It is the main source of providing the income needed to avoid economic dependence on others, for obtaining desired materials and services, and for achieving status and recognition from others.
- Pay as well as the pace of work should be in commensurate with the expertise required, acquired, and utilized in the persons. Exploitation and bargained pay should be discouraged.
- Privacy (personal freedom) of the employee, including women, is to be protected. At the same time, confidentiality of the employer is also to be protected. Mutual trust and loyalty both ways play major roles in this aspect.
- Security during job and upon retirement: This concept is being accepted only in government jobs, public limited companies, and corporate organizations. The western thought has influenced the Indian private industries and multinationals in a paradigm shift

from 'life- long employment' to policies such as 'merit only', 'hire and fire', 'pay and use' etc. This situation has no doubt created tension in the Indian scene.

- Recognition to non-work activities, such as leisure, paid holiday on the day of visit of a dignitary, social service, and other developmental activities. The workers in prosperous countries are less willing to consider 'work' as their prime interest in life. They claim that such service activities give them peace of mind and happiness. However, such a trend is likely to decline the work ethics.
- Hard work and productivity are very essential for the success of an industry. The quality of work life deserves to be improved. Hard labor, undignified jobs (human-drawn rikshaw, people carrying night soil), and hazardous jobs are to be made less straining, dignified, and safer. Automation and CNC systems to a large extent have been successful in lessening the human burden. Still, many a hard work can not be replaced by 'virtual work', in the near future.
- Employee alienation: Absence of or inadequate 'recognition and reward system' and 'grievance redressal system', lack of transparency in policy implementation, factions in trade unions etc. lead to ethical problems, affecting the work ethics. Participative management, quality circles, job rotation, and flexible working hours are some of the measures to counter this situation.
- A different view of work ethics: Work is considered as a necessary evil. It is a thing one must do in order to avoid worse evils, such as dependency and poverty. That is a major source of anxiety and unhappiness.
- As per the Protestant Work Ethics, the financial success is a sign that is favored by God. It means making maximal profit is a duty mandated by God. It is to be obtained rationally, diligently, and without compromising with other values such as spending time with one's family and not exploiting or harming others¹

Module 2

13(a). Explain the three main levels of moral developments, devised by Carol Gilligan.(7)

Carol Gilligan found that Kohlberg's theory had a strong male bias. According to Gilligan's studies, men had a tendency to solve problems by applying abstract moral principles. Men were found to resolve moral dilemma by choosing the most important moral rule, overriding other rules. In contrast, women gave importance to preserve personal relationships with all the people involved. The context oriented emphasis on maintaining personal relationships was called the

ethics of care, in contrast with the ethics of rules and rights adopted by men. Gilligan revised the three levels of moral development of Kohlberg, as stages of growth towards ethics of caring. The pre-conventional level, which is same as that of Kohlberg's first one, right conduct, is viewed in a selfish manner solely as what is good for oneself. The second level called conventional level, the importance is on not hurting others, and willing to sacrifice one's own interest and help others. This is the characteristic feature of women. At the post-conventional level, a reasoned balance is found between caring about others and pursuing the self-interest. The balance one's own need and the needs of others, is aimed while maintaining relationship based on mutual caring. This is achieved by context-oriented reasoning, rather than by hierarchy of rules.

13(b). Discuss three types of inquiries. (7)

Normative Inquiry

It seeks to identify and justify the morally-desirable norms or standards that should guide individuals and groups. It also has the theoretical goal of justifying particular moral judgments. Normative questions are about what ought to be and what is good, based on moral values. For example, 1. How far does the obligation of engineers to protect public safety extend in any given situation? 2. When, if ever, should engineers be expected to blow whistle on dangerous practices of their employers? 3. Whose values ought to be primary in making judgment about acceptable risks in design for a public transport system or a nuclear plant? Is it of management, senior engineers, government, voters or all of them? 4. When and why is the government justified in interfering with the organisations? 5. What are the reasons on which the engineers show their obligations to their employees or clients or the public?

Conceptual Inquiry

It is directed to clarify the meaning of concepts or ideas or principles that are expressed by words or by questions and statements. For example, (a) What is meant by safety? (b) How is it related to risk? (c) What is a bribe? (d) What is a profession? When moral concepts are discussed, normative and conceptual issues are closely interconnected.

Factual or Descriptive Inquiry

It is aimed to obtain facts needed for understanding and resolving value issues. Researchers conduct factual inquiries using mathematical or statistical techniques. The inquiry provide important information on business realities, engineering practice, and the effectiveness of professional societies in fostering moral conduct, the procedures used in risk assessment, and

psychological profiles of engineers. The facts provide not only the reasons for moral problems but also enable us to develop alternative ways of resolving moral problems. For example, 1. How were the benefits assessed? 2. What are procedures followed in risk assessment? 3. What are short-term and long-term effects of drinking water being polluted? and 4. Who conducted the tests on materials?

14. List and explain the varieties of moral issues. (14)

Resource Crunch

Due to pressure, through time limits, availability of money or budgetary constraints, and technology decay or obsolescence. Pressure from the government to complete the project in time (e.g., before the elections), reduction in the budget because of sudden war or natural calamity (e.g., Tsunami) and obsolescence due technology innovation by the competitor lead to manipulation and unsafe and unethical execution of projects. Involving individuals in the development of goals and values and developing policies that allow for individual diversity, dissent, and input to decision-making will prevent unethical results.

Opportunity

(a) Double standards or behavior of the employers towards the employees and the public. The unethical behaviors of World Com (in USA), Enron (in USA as well as India) executives in 2002 resulted in bankruptcy for those companies

(b) Management projecting their own interests more than that of their employees. Some organizations over-emphasize short-term gains and results at the expense of themselves and others

(c) Emphasis on results and gains at the expense of the employees

(d) Management by objectives, without focus on empowerment and improvement of the infrastructure. This is best encountered by developing policies that allow 'conscience keepers'

and whistle blowers and appointing ombudsman, who can work confidentially with people to solve the unethical problems internally.

Attitude

Poor attitude of the employees set in due to :

- (a) Low morale of the employees because of dissatisfaction and downsizing, 24 A Textbook on Professional Ethics and Human Values
- (b) Absence of grievance redressal mechanism
- (c) Lack of promotion or career development policies or denied promotions
- (d) Lack of transparency
- (e) Absence of recognition and reward system
- (f) Poor working environments

Giving ethics training for all, recognizing ethical conduct in work place, including ethics in performance appraisal, and encouraging open discussion on ethical issues, are some of the directions to promote positive attitudes among the employees⁹ . To get firm and positive effect, ethical standards must be set and adopted by the senior management, with input from all personnel.

Module 3

15. Explain about the Bhopal Gas Tragedy and write it's cause and fatal effect. (14)

Bhopal disaster, chemical leak in 1984 in the city of Bhopal, Madhya Pradesh state, India. At the time, it was called the worst industrial accident in history.

On December 3, 1984, about 45 tons of the dangerous gas methyl isocyanate escaped from an insecticide plant that was owned by the Indian subsidiary of the American firm Union Carbide Corporation. The gas drifted over the densely populated neighborhoods around the plant, killing thousands of people immediately and creating a panic as tens of thousands of others attempted to flee Bhopal. The final death toll was estimated to be between 15,000 and 20,000. Some half a million survivors suffered respiratory problems, eye irritation or blindness, and other maladies resulting from exposure to the toxic gas; many were awarded compensation of a few hundred dollars. Investigations later established that substandard operating and safety procedures at the understaffed plant had led to the catastrophe. In 1998 the former factory site was turned over to the state of Madhya Pradesh. In the early 21st century more than 400 tons of industrial waste were still present on the site. Despite continued protests and attempts at litigation, neither the Dow Chemical Company, which bought out the Union Carbide Corporation in 2001, nor the Indian government had properly cleaned the site. Soil and water contamination in the area was blamed for chronic health problems and high instances of birth defects in the area's inhabitants. In 2004 the Indian Supreme Court ordered the state to supply clean drinking water to the residents of Bhopal because of groundwater contamination. In 2010 several former executives of Union Carbide's India subsidiary—all Indian citizens—were convicted by a Bhopal court of negligence in the disaster.

16. Explain the Babylon's Building Code and The United States Steamboat Code.(14)

Babylon's Building Code: (1758 B.C.)

This code was made by Hammurabi, king of Babylon. He formed a code for builders of his time and all the builders were forced to follow the code by law. He ordered

“If a builder has built a house for a man and has not made his work sound, and the house which he has built was fallen down and so caused the death of the householder, that builder shall be put to death. If it causes the death of the house holder’s son, they shall put that builder’s son to death. If it causes the death of the house holder’s slave, he shall give slave to the householder. If it destroys property he shall replace anything it has destroyed; and because he has not made the house sound which he has built and it has fallen down, he shall rebuild the house which has fallen down from his own property. If a builder has built a house for a man and does not make his work perfect and the wall bulges, that builder shall put that wall in to sound condition at his own cost”.

The above portion of Babylon’s building code was respected duly. But the aspects find only little approval today. This code gives a powerful incentive for self-regulation.

Module 4

17(a). Explain the methods for managing conflict. (7)

ANS:Conflict has many sources in the workplace. It is borne out of differences and will arise in any situation where people are required to interact with one another. Dealing with conflict effectively is a key management skill. This article outlines five different approaches to conflict management and the situations they are most appropriate for.

Accommodation

This is a lose/win situation. The accommodation approach is generally used when one party is willing to forfeit their position. It is best used in situations where: One party wishes to indicate a degree of fairness. People wish to encourage others to express their own opinion. The issue or problem is more important to the other party concerned. It is more important to safeguard the relationship rather than argue about the issue.

Compromise

This is a win/lose – win/lose situation, i.e. everyone involved gains and loses through negotiation and flexibility. Each will win some of what they desire while at the same time giving something

up. The main goal of this approach is to find common ground and maintain the relationship. Compromise is best used: To achieve an agreement when all parties have equal power. To reach a temporary resolution in more complicated matters. To achieve a settlement when time or other circumstances are constrained.

Avoidance

This is a lose/lose situation. Neither party takes action to address the issues involved in the conflict, meaning that it will remain unresolved. This approach is best used: If all concerned feel that the issue is a minor one and will be resolved in time without any fuss. When the parties need a chance to cool down and spend time apart. If other people are able to resolve the conflict more effectively than the parties concerned. When more time is needed before thinking about dealing with the issues. If the impact of dealing with the situation may be damaging to all parties involved.

Competition

This is a win/lose situation. One party attempts to win the conflict through dominance and power. This approach is best used: When all other methods have been tried (and failed). In emergency situations when quick, immediate and decisive action is called for. In situations where unpopular changes need to be applied and discussion is not appropriate.

Collaboration

This is a win/win situation. It is the most effective but most difficult way of managing differences. It requires trust and commitment on all sides to reach a resolution by getting to the heart of the problem. All parties need to be willing to empathise and try to understand each other's situation. Collaboration is most appropriate: When all parties are willing to investigate alternative solutions together that they may not necessarily have thought of on their own. When trying to get to the source of problems that have continued for a long time. When upholding objectives that cannot be compromised on any side while still preserving the relationship. When

parties from different backgrounds and experiences are involved.

17(b). Explain the types of Collective Bargaining. (7)

Definition: The Collective Bargaining is the process wherein the unions (representatives of employees or workers), and the employer (or their representative) meet to discuss the issues related to wage, the number of working hours, work environment and the other terms of the employment.

There are four types of Collective Bargaining classified on the basis of their nature and the objectives, and can be practiced depending on the different situation requirements.



1. Conjunctive or Distributive Bargaining: In this form of collective bargaining, both the parties viz. The employee and the employer try to maximize their respective gains. It is based on the principle, “my gain is your loss, and your gain is my loss” i.e. one party wins over the other.

The economic issues such as wages, bonus, other benefits are discussed, where the employee wishes to have an increased wage or bonus for his work done, whereas the employer wishes to increase the workload and reduce the wages.

2. Co-operative or Integrative Bargaining: Both the employee and the employer sit together and try to resolve the problems of their common interest and reach to an amicable solution. In the case of economic crisis, such as recession, which is beyond the control of either party, may enter into a mutual agreement with respect to the working terms.

For example, the workers may agree for the low wages or the management may agree to adopt the modernized methods, so as to have an increased production.

3. Productivity Bargaining: This type of bargaining is done by the management, where the workers are given the incentives or the bonus for the increased productivity. The workers get encouraged and work very hard to reach beyond the standard level of productivity to gain the additional benefits.

Through this form of collective bargaining, both the employer and the employee enjoy the benefits in the form of increased production and the increased pay respectively.

4. Composite Bargaining: In this type of collective bargaining, along with the demand for increased wages the workers also express their concern over the working conditions, recruitment and training policies, environmental issues, mergers and amalgamations with other firms, pricing policies, etc. with the intention to safeguard their interest and protect the dilution of their powers.

Thus, the purpose of the Collective Bargaining is to reach a mutual agreement between the employee and the employer with respect to the employment terms and enjoy a long term relationship with each other.

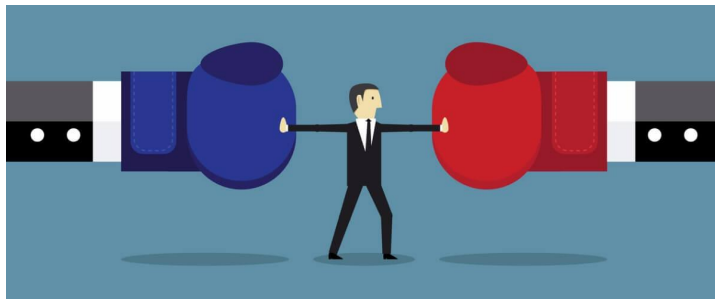
18. Explain the steps taken for conflict management. (14)

Steps to Resolving Conflict

Schedule a meeting to address the problem, preferably at a neutral place.

- Set ground rules. Ask all parties to treat each other with respect and to make an effort to listen and understand others' views.
- Ask each participant to describe the conflict, including desired changes. Direct participants to use “I” statements, not “you” statements. They should focus on specific behaviors and problems rather than people.
- Ask participants to restate what others have said.
- Summarize the conflict based on what you have heard and obtain agreement from participants.
- Brainstorm solutions. Discuss all of the options in a positive manner.
- Rule out any options that participants agree are unworkable.
- Summarize all possible options for a solution.
- Assign further analysis of each option to individual participants.
- Make sure all parties agree on the next steps.
- Close the meeting by asking participants to shake hands, apologize and thank each other for working to resolve the conflict.

Step 1: Pause, Breathe, Separate



Conflict at work is inevitable and it may be tempting to ignore it when it's minor, irritating word battles or when it occurs covertly at the senior level. Still, any conflict that disrupts the workplace or threatens staff wellbeing needs to be addressed.

Begin by separating the conflicting parties and giving them time to cool down. Explain that this is only conflict, not a competition and that there will be no winner or loser.

While everyone is taking time apart, evaluate the information available and draw up a rough outline for the next steps. Should you wait to address the issue or should you acknowledge it and fix it now? How clear is the path to common ground?

Document the issue using an Employee Complaint Form [Template](#) for reflection later on in the conflict resolution process.

A too-quick decision can do more harm than good, so take some time for yourself too.

Step 2: Identify a Conflict Mediator

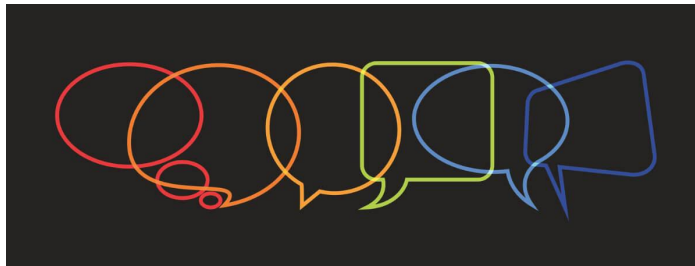


Think about it objectively: are you the right person for this job?

What skills are needed to resolve this conflict and do you possess them? Are you too close to the situation? Could this familiarity affect the outcome? A mediator who's biased will have a difficult time resolving the conflict as their view will be clouded by preexisting feelings or thoughts.

If you're not the best person for the job, acknowledge and accept it. Call in an external mediator with the right skills and an impartial view of the situation.

Step 3: Choose the Right Medium



If you've decided you'll be the mediator, now it's time to pick an appropriate medium to deal with this conflict. Would an in-person chat be possible? If not, should you set up a video call to maintain formality? Is either option necessary?

Some experts advise against resolving the conflict over email, but it's harmful to make a blanket statement like that when conflicts vary so drastically. Depending on the conflict, an email may suffice. In fact, sometimes resolving an incident is easier via email or chat, if those involved are better able to explain themselves when they can plan and edit their responses.

However, let the intensity of the conflict decide: the higher the emotion, the more formal the resolution.

The most important part is that the resolution must be done privately. Even if the incident occurred in public, move the next steps to a private arena. Conflicting parties deserve the right to express themselves in a safe environment without intrusive bystanders.

Step 4: Acknowledge the Issue



Now that you've decided on a medium, begin the resolution by acknowledging that a problem exists. At first glance, you may be inclined to think that those involved are making a mountain out of a molehill. Instead, consider that something seemingly insignificant to you may be a huge issue for someone else.

Is this a conflict or straight up harassment? Download the **11 Types of Workplace Harassment Cheat Sheet** for a better understanding of harassing behaviors.

Shift the lens through which you view the conflict. Try to adopt a positive outlook on embracing conflicts of all sizes and complexities and then share this newfound perspective. Identify this not as a burden, but as an opportunity for everyone involved to develop, learn and grow.

Use this beginning stage to establish guidelines too. Explain that you all are about to work toward a solution where everyone will benefit in some way and that if they break these rules, the meeting will end until they can participate properly. Some common rules include:

- Express yourself calmly

- No yelling, threatening or cursing
 - No passive-aggressive comments
 - Try to understand other points of view
-

Step 5: Open the Conversation



Open the lines of communication for conflicting parties to have their say without interruptions or outbursts. Allow the parties to talk informally, but monitor the discussion to ensure each party has adequate time to speak.

Don't let one person monopolize the conversation and don't begin sharing your own viewpoint until both parties have had an opportunity to express their thoughts, concerns and feelings.

There is bound to be a lot of emotion in these conversations, meaning they can easily stray off course, hindering any progress. The intensity between the conflicted parties can quickly push the dialogue into a toxic place.

A skillful mediator will continue to remind them that the conflict occurred and that the purpose of this discussion is to attack the conflict, not each other. These strategies can help you keep the dialogue on track:

Listen for threats, intimidation, aggression or coercion

Be attentive and listen for threats or ultimatums, aggression, intimidation, bullying or scare tactics. If you find the discussion is becoming aggressive instead of assertive, help the speaker communicate their position. Threats and coercive offers might halt the problem temporarily but they are rarely a long-term solution.

Focus on the topic

Keep the conversation focused on the problem, not the person. Conflicting parties may feel compelled to attack each other, but try to refocus back onto the conversation's primary goal.

Keep your own pre-conceived attitudes in check as well. Remember, you are supposed to be maintaining a bias-free perspective. Sometimes the person really is the problem in a conflict, but that's usually the last place you should look.

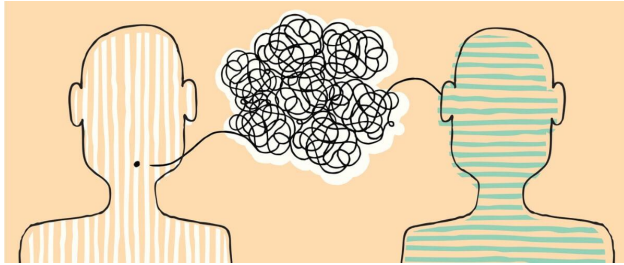
Use "I" statements

Form the conversation around "I" statements. The keystone of conflict resolution, "I" statements help the speaker frame thoughts around themselves instead of placing blame on the other party. Instead of saying "You're always late!" say something more like "It was embarrassing that I had to lead the meeting myself."

Use storytelling

Encourage the use of storytelling for a productive discussion. If the speaker is not careful while explaining their position, it can push the listener to become indifferent instead of sympathetic. With storytelling, the speaker creates a clearer picture that's easier to not only acknowledge, but also understand.

Step 6: Listen Actively



Listen actively to the conversation and encourage the non-speaking party to listen actively as well. Listen without interrupting but do ask for feedback and clarification to ensure everyone has a clear understanding.

There are many active listening techniques, but these are the best:

Offer your undivided attention

Give the speaker your complete attention, then show that you're engaged in the conversation. Nod along or offer small encouragements as you listen to demonstrate that you're hearing (and making an effort to understand) what they're saying.

Don't fear silence

Some see silence as awkward, confusing or embarrassing. In difficult conversations, silence is actually beneficial as it gives all parties involved a chance to reflect on what was just said, and plan they will say next.

Let them speak

Do not interrupt. As part of an open and welcoming conversation, everyone must be given the chance to have their say without interruptions or disruptions.

Step 7: Reach an Understanding



The goal is to reach a complete understanding of the conflict and the differing perspectives. Your job is to make sure everyone is on the same page.

After the bulk of the conversation has taken place and each party has taken turns explaining and listening, investigate, evaluate and analyze both sides. Don't jump to conclusions or make assumptions.

Repeat the core concepts and restate the issues to give the parties a chance to correct you. Ask clarifying questions if you think that will help.

Attempt to point out any deeper issues that lie beneath the surface. Differentiate between sacred and nonnegotiable values (such as moral code) from pseudo-sacred and circumstantial values (such as casual preferences).

Step 8: Act Decisively



For full conflict resolution, you need to not only acknowledge the issue and any hurt feelings, but also identify and implement a solution that begins to mend previous damage and prevent future harm.

For the resolution to be most effective, you need to be quick. If you've gathered the details, had the conversations, listened to the stories and confirmed understanding, it's time to make a decision and act on it.

Leaving a conflict in limbo and neglecting to make a decision can damage your credibility and make you look insensitive and incompetent. It also allows for further conflict to develop.

A successful mediator will be able to diffuse the conflict and identify the best way to resolve the situation. The five common strategies for resolving conflict are: accommodating, avoiding, compromising, collaborating and competing.

Accommodating

Conflict resolution through accommodation is simply giving one side what it wants. When one party agrees to accommodate the other by accepting their perspective, they are trying to keep the peace. While this *can* help everyone move forward, it may lead to resentment and envy.

Avoiding

Avoiding the conflict completely is one form of conflict resolution. By ignoring the conflict and pretending it never happened the problem resolves itself. In some cases, this method might actually work, like after the termination of a popular but unproductive employee.

Compromising

Compromising is one of the more successful conflict resolution tactics. With compromise, both parties negotiate the larger points and forfeit a few smaller points of their position to reach a solution. This strategy prevails when the conflicting parties hold similar levels of power (for example: contract negotiations).

Collaborating

Collaborating is another desirable conflict management strategy. It involves pinpointing areas of agreement between the conflicting parties and finding a creative solution that works for all. It's not always the best use of resources, depending on the conflict at hand, because it can be time-consuming and tedious.

Competing

Another form of conflict resolution is competing or "standing your ground". With this, the conflicting parties battle it out. Admittedly, it's one of the less successful scenarios, but competing can be useful in crisis situations (like pay cuts or layoffs). It may result in short-term rewards but the long-term consequences can be detrimental.

Step 9: Say Thanks, Follow Up



At the end of the conversation, thank all parties for participating and acknowledge the progress made.

Follow-up on a later date using the most appropriate method. Based on the conflict and status of the resolution, that might be a private face-to-face conversation, an email or a call.

During this follow-up, restate the resolution and thank them again. If it's appropriate and you're in a position to give advice, do so. Let them know you're available to discuss any future thoughts or issues they have.

Step 10: Prevent Future Issues



You can take all the precautions in the world, carefully screening employees during the hiring process and mandating as much training as possible. But, polished interview responses and full-day workshops won't guarantee a healthy workplace.

Once the conflict is resolved, start taking the necessary next steps to prevent this type of issue from happening again in the future. Specific steps could be clarifying roles, if that was the issue, or adding a behavioral statement to the code of conduct policy or employee manual.

Module 5

19(a). Explain the characteristics of Business ethics. (7)

Business Ethics: Definition, Principles, Features

Business Ethics can be defined as a systematic attempt that would govern the sense of right or wrong and the values worth pursuing in life.

What is Business Ethics?

Business ethics refers to carrying business as per self-acknowledged moral standards. It is a structure of moral principles and code of conduct applicable to a business.

Business ethics applies not only to the manner the business relates to a customer but also to the society at large.

It is the worth of right and wrong things from a business point of view. Business ethics not only talk about the code of conduct at the workplace but also with the clients and associates.

Companies that present factual information respect everyone and thoroughly adhere to the rules and regulations are renowned for high ethical standards.

Business ethics implies conducting business in a manner beneficial to the societal as well as business interests. Every strategic decision has a moral consequence.

The main aim of business ethics is to provide people with the means for dealing with the moral complications.

Ethical decisions in business have implications such as satisfied workforce, high sales, low regulation cost, more customers, and high goodwill.

Some of the ethical issues for business are a relation of employees and employers, the interaction between organization and customers, the interaction between organization and shareholders, work environment, environmental issues, bribes, employee rights protection, product safety, etc.

Principles of Business Ethics

Business ethics emerged from divine guidelines, experience, giant corporate house interest, and existing legal system. Consequently, it has to maintain the following principles:

Be Trustful

Recognize customers want to do business with a company they can trust; when trust is at the core of a company, it's easy to recognize. Trust defined is assured reliance on the character, ability, strength, and truth of a business.

Keep an Open Mind

For continuous improvement of a company, the leader of an organization must be open to new ideas.

Ask for opinions and feedback from both customers and team members, and your company will continue to grow.

Meet Obligations

Regardless of the circumstances, does everything in your power to gain the trust of past customers and clients, particularly if something has gone awry.

Reclaim any lost business by honoring all commitments and obligations.

Have Clear Documents

Re-evaluate all print materials, including small business advertising, brochures, and other business documents, making sure they are clear, precise, and professional.

Most importantly, make sure they do not misrepresent or misinterpret.

Become Community Involved

Remain involved in community-related issues and activities, thereby demonstrating that your business is a responsible community contributor. In other words, stay involved.

Maintain Accounting Control

Take a hands-on approach to account and record-keeping, not only as a means of gaining a better feel for the progress of your company but as a resource for any “questionable” activities.

Gaining control of accounting and record-keeping allows you to end any dubious activities promptly.

Be Respectful

Treat others with the utmost respect. Regardless of differences, positions, titles, ages, or other types of distinctions, always treat others with professional respect and courtesy.

Recognizing the significance of business ethics as a tool for achieving your desired outcome is only the beginning.

A small business that instills a deep-seated theme of business ethics within its strategies and policies will be evident among customers. Its overall influence will lead to a profitable, successful company.

By recognizing the value of practicing admirable business ethics, and following each of the 7 principles, your success will not be far off.

Nature/Features of Business Ethics

Business ethics go hand in hand with generally accepted norms and values with very few exceptions. What is unacceptable in general, will not be acceptable in business, least in a certain locality.

However, the other features of the business are enumerated below:

Ethical values

Business ethics is concerned with morality in business in today's business world, a community firm is a large part of society, and its action is bound to have a direct impact on the wellbeing and welfare of the society.

Business affects society in terms of what products it supplies.

Therefore, the business community must conduct its activities with self-control, self-check, and self-sacrifices .i.e. acting with less concern for you than for the success of the joint activity.

And always keeping in mind the interest of the community at large signifies ethical values.

Relative term

Ethics is a relative term in the concept of morality and immorality. It differs from one individual to another or from society to society. What is moral to one may be immoral to another.

Interest of society

Business ethics implies that business should first do well to society and then to itself.

Business is an important institution and has a social responsibility to protect the interest of all those groups who are directly or indirectly related to the organization like employees, shareholders, and consumers, etc. to contribute to the real success of the business organization.

Business social relationship

Business ethics set the terms and standards to understand the societal relationship of business. It indicates what society expects from business and what it thinks about the business.

Provides the framework

Like an individual, business is also bound by social rules and regulations. Business is expected to restrict its activities within the limits of the social, legal, cultural, and economic environment.

Facilitates protection of social groups

Business ethics gives protection to consumers and other social groups such as shareholders, employees, and society at large.

The business should give priority to social interest or social good. Such an ethical approach creates a good name, add status to business, and helps in its growth and expansion.

Not against profit-making

Business ethics is not against fair profit-making.

However, it is against making a profit by cheating and exploiting consumers, employees, or investors. It supports the expansion of business activities but by fair means and not through illegal activities or corrupt practices.

Needs willing acceptance

Business ethics cannot be imposed by law or by force. It must be accepted as self-discipline by businessmen. It should come from within. Businessmen should go for ethical trade practices on their own and not by force of law.

Business Ethics and Social Responsibility of Business

Business ethics is a form of applied ethics that examines just rules and principles within a commercial context, the various moral-ethical problems that can arise in a business setting, and any special duties or obligations that apply to persons who are engaged in commerce.

Generally speaking, business ethics is a normative discipline, whereby particular ethical standards are advocated and then applied.

It makes specific judgments about what is right or wrong, which is to say, it makes claims about what ought to be done or what ought not to be done.

While there are some exceptions, business ethicists are usually less concerned with the foundations of ethics (meta-ethics), or with justifying the most basic ethical principles, and are more concerned with practical problems and applications, and any specific duties that might apply to business relationships.

Business ethics can be examined from various perspectives, including the perspective of the employee, the commercial enterprise, and society as a whole.

Very often, situations arise in which there is a conflict between one and more of the parties, such that serving the interest of one party is a detriment to the other(s).

For example, a particular outcome might be good for the employee, whereas it would be bad for the company, society, or vice versa. Some ethicists see the principal role of ethics as the harmonization and reconciliation of conflicting interests.

Ethical issues can arise when companies must comply with multiple and sometimes conflicting legal or cultural standards, as in the case of multinational companies that operate in countries with varying practices.

The question arises, for example, ought a company obey the laws of its home country, or should it follow the less stringent laws of the developing country in which it does business?

To illustrate, United States law forbids companies from paying bribes either domestically or overseas; however, in other parts of the world, bribery is customary, “accepted” way of doing business.

Similar problems can occur in child labor, employee safety, work hours, wages, discrimination, and environmental protection laws.

Business ethics should be distinguished from the philosophy of business, the branch of philosophy that deals with the philosophical, political, and ethical underpinnings of business and economics.

Business ethics operates on the premise, for example, that the ethical operation of a private business is possible those who dispute that premise, such as libertarian socialists, (who contend that “business ethics” is an oxymoron) do so by definition outside of the domain of business ethics proper.

The philosophy of business also deals with questions such as what, if any, are the social responsibilities of business; business management theory; theories of individualism vs. collectivism; free will among participants in the marketplace; the role of self-interest; invisible hand theories; the requirements of social justice; and natural rights, especially property rights, about the business enterprise.

Business ethics is also related to political economy, which is economic analysis from political and historical perspectives. Political economy deals with the distributive consequences of economic actions.

It asks who gains and who loses from economic activity, and is the resultant distribution fair or just, which are central ethical issues

19(b). Explain the role of computers in technological development. (7)

Computers are now a fact of life. Computers have created a very effective information system to help streamline the management of an organization. This makes it a much needed tool for every business, banking, government, entertainment, daily life, industry, education, and administration. It can be said of all large organizations, whether the department government or private, use a computer for a variety of their daily business and it is the fastest growing industries in the world today. Each organization usually has one or more large computer systems and a number of microcomputer. The system is a great computer for data processing tasks, while many small microcomputer to use as word processing. Computers have become part of our lives is essential. In general, the use of computers can be divided into several groups.

A INFORMATION TECHNOLOGY

Computer technology is leading to more accurate sizing and rating methods for process equipment. Heat exchangers are designed with high-precision prediction methods and complex numerical techniques to account for the local flow and temperature conditions. Fouling mitigation is just changing from an art to a science-based technology. The real benefits of sophisticated design codes will not be achieved without reliable fouling prediction methods and

mitigation techniques that can be incorporated into the design phase. Recent developments in the computer technology provide an opportunity to productively use fouling information that is scattered in the literature, industry log books, and in reports. A long-term goal for the industry is to develop a knowledge-based system for designing and operating heat exchangers with a minimum impact of water fouling. The major challenges to develop the knowledge-based system are as follows:

Compilation and organization of the fouling data

Easy access by both research organizations and industry

Development of a logic system for interpreting the fouling data

Industrial acceptance of such knowledge-based systems

The fouling data and analyses reported in the literature are often inadequately utilized. To effectively utilize these data, compilation and organization of fouling information are major tasks and challenges for research organizations and industries. This task is more important for the fouling-mitigation technology as compared to other engineering areas. It is hard to imagine that there could be a single correlation with a given set of parameters that can be used to predict the rate of fouling or determine the threshold fouling conditions. One has to rely on the best possible approach to mitigate fouling for a given set of conditions. In the absence of such information, either mitigation methods are overutilized, with high chemical costs, or underutilized, with high maintenance and production costs. Perrakis *et al.* [54] introduced an approach for compiling the fouling data in the literature. A major cooperative effort is required to carry out such a major challenge for compiling and organizing data. The fouling data and analyses must be accompanied with physical and chemical parameters without which the data have little value.

The next step in information technology is to develop a logic system to utilize the database for interpreting the results. Faltzin *et al.* [13] discussed a possible approach for utilizing a so-called expert system for selecting a strategy for fouling control. However, before such an expert system can be developed, it is essential to develop a knowledge-based system to access and interpret the

fouling information. The logic for knowledge-based systems can be structured. The system is a computerized tool for aiding the engineer to design and operate the heat exchanger with the best possible strategy that can be used for mitigating fouling.

20 Explain the advantages and limitations of MNCs. (14)

Multi National Company

Multinational Corporations or Multinational Companies are corporate organizations that operate in more than one country other than home country. Multinational Companies (MNCs) have their central head office in the home country and secondary offices, facilities, factories, [industries](#), and other such assets in other countries.

These companies operate worldwide and hence also known as global enterprises. The activities are controlled and operated by the parent company worldwide. [Products](#) and services of MNCs are sold around various countries which require [global management](#).

High turnover and many assets, aggressive [marketing](#) are some of the features of Multinational Companies. LTI, TCS, Tech Mahindra, Deloitte, Capgemini are some of the examples of MNCs in [India](#). Let's us understand the features, advantages of Multinational Companies in detail.

1. Multinational corporations are often responsible for today's best practices.

Most multinational corporates rely on merchants and distributors for their goods and services. Some even use these third-party entities to create additional sales opportunities. Because of their global presence and overall sizes, these organizations use leverage with their associates to produce a required action for each customer.

If the vendor fails to do so, then the multinational corporation can move to a different supplier immediately. This practice directly eliminates some distribution businesses overseas with a single decision, which is why this structure creates competences of scale that keep prices down while still ensuring reasonably excellent product quality.

2. Innovation happens because of the investments made by multinational corporations.

Most multinational corporations spend about 5%-10% of their yearly budget on innovative research and development projects. Most of the firms that invest richly into R&D are the organizations who are on the Fortune Global 500 list consistently.

Only two companies, Stanley Black and Decker and Apple, qualify as high-leverage innovators because of their investments today. The world's largest spenders increased their investments by 11.4% in 2018 to total almost \$800 billion. Without these investments, the world would be a very different place.

3. The world has more cultural awareness because of multinational corporations.

When an organization decides to expand to a foreign market, then they are presented with brand-new sociological certainties. Multinational companies are amazingly diverse, giving them additional power because of this diversity. The current marketplace requires agencies to know what the pain points of the local market are before it becomes possible to create products or services for them.

When each person expands their reasoning to include new viewpoints, the planet becomes a healthier place because of that action. These organizations provide a resolute influence on cross-culture information when this advantage becomes a prime preference for them.

4. Multinational companies focus on consistency for the consumer.

Multinational companies work from centralized structures. That means there is a fundamental expectation that every asset will look and function as every other item does. Even though a company in China serves different products than one in Canada, the core ethics and values of the corporation are still displayed for all to see.

You'll see similar designs, ordering procedures, and best practices implemented at all managed locations for a multinational company. Customers believe in these institutions because they realize what the value proposition is before they ever spend any money with that brand. This advantage works the same way for every business which excels because of their status in different markets.

5. Diversification becomes possible because of multinational corporations.

Most populations, developing nations, and marketplaces depend on a set of core products for their survival. Most of the items tend to link up with agriculture-based industries, such as farming. Multinational companies offer these economies more variety in product and price choice, which creates another layer of diversity for the local consumer. This advantage reduces their reliance on materials that often have volatile pricing structures due to their supply and demand levels frequently changing – sometimes daily.

6. Local infrastructures improve with the presence of multinational corporations.

The Coca-Cola Company developed a 2020 Vision Program to encourage more local infrastructure development in the Asia-Pacific region as a way to develop more middle class households. Over \$30 billion is being spent on this effort to raise the standard of living in countries where some workers still make less than \$2 per day. Other multinational companies have similar development projects in the works.

Multinational corporations must make infrastructure improvements to encourage local populations to develop skill-based workers that can take on their needed tasks. Communities must be able to access the local market and reach their employment opportunity. That's why you

will see businesses helping to fund local road projects, build bridges, and reduce other transportation barriers around the world.

7. Multinational companies offer employment opportunities at the local level.

Although multinational companies route command decisions through a centralized office at their domestic headquarters, all of them need to have boots on the ground in each local market. Because over 70% of the jobs people hold in the world today are tied to the agricultural industry, these companies can transform an economy quickly by providing new tools, educational resources, and financing that can shift the standard of living for the entire economy.

It's the "rising tide lifts all boats" analogy, but then put into practice in real life. This advantage is helping some developing countries to triple their GDP over the past 10 years. With more multinational companies entering new markets all over the world, it will not take long for there to be more developed than developing nations.

8. The import-export market is present because of multinational corporations.

The issue of economic development in undeveloped nations occurs because there is an overall lack of resource access to these countries. What is available to the average customer in the U.S. is quite distinct when compared to what is accessible in a country like Sudan. There are even differences between markets like Canada and South Africa to manage.

When multinational corporations build a presence in the developing world, their capital inflows help each country to develop better access to the import-export market. This advantage gives each marketplace better access to valuable goods, creates more opportunities for trade, and it ultimately raises the standard of living for the entire economy.

9. Multinational companies reduce the need for foreign aid.

African countries often rely on foreign aid as a way to balance their domestic budget each year. Some nations in the past decade have received 50% to almost 80% of their GDP from contributions made by the developed world. Because government processes are typically inefficient when compared to the private sector, the presence of multinational companies in each marketplace makes it easier to build profits and improve conditions even if the overall value of each transaction is not high on a global scale.

The presence of multinational corporations could boost the levels of trade on the African continent by up to 50% in the next decade, which would put this region into the same category as Southeast Asia for trade opportunities in the global market.

10. Capital inflows occur because of the presence of multinational corporations.

Most multinational companies have their headquarters in the developed world, which means Europe, the U.S., or Japan for most organizations. These companies rely on the resources of those mature marketplaces to maintain the diversity of their revenue streams because it is cheaper to develop production assets outside of their domestic market.

These agencies must move into the developing world to earn profits through the investments that they make there to maintain the value of their overall portfolio. Multinational companies are a leading source of capital inflows to the developing world because they build manufacturing centers, investing in workforce training, and support institutions of learning to advance their productive capacity in foreign markets.

List of the Disadvantages of Multinational Corporations

1. Multinational corporations can use their structure to form monopolistic markets.

Most countries treat the assets of a multinational corporation as an independent structure, like a transnational company, instead of looking at the hierarchy of the business for what it tends to be. This disadvantage allows each firm to have more flexibility in how they handle the local

marketplace with their presence. Global monopolies do not currently exist, by firms like Alphabet, Illumina, and Broadridge all manage a 50% share or more of their industry.

When these structures are present and treated in this way, then the benefits of scale allow the multinational corporation to price everyone out of the market. There might still be local competition, but the average consumer will work with the cheapest offer whenever it provides a similar amount of value for them.

2. Because of their size, multinational corporations put SMEs out of business.

Did you know that 9 out of 10 companies will eventually fail? The most critical time for any small business is during the first five years of operation. About one-third typically fail in their first 12 months of existence. One of the contributing factors to this problem is the size and scale of multinational corporations. Bigger companies can produce larger bulk orders, which means they can see a per-unit price savings when compared to SMBs and SMEs.

“Multinational corporations do control,” said California Governor Jerry Brown. “They control the politicians. They control the media. They control the pattern of consumption, entertainment, and thinking. They’re destroying the planet and laying the foundation for violent outbursts and racial division.”

3. Multinational corporations often take advantage of the international standard of living.

Many states in the U.S. are approaching or exceeding \$12 per hour for their minimum wage. Several of the 2020 Presidential candidates for the Democratic party are pushing for a \$15 per hour minimum wage. The goal of this legislation is to provide a “living salary” for workers who are putting in full-time hours to support their families, but it is also an effort that encourages more offshoring.

Did you know that the minimum wage in China is the equivalent of less than \$1 per hour? Some African countries have a minimum wage that pays workers less than a nickel per hour for the

work that they do. If a multinational company can transfer hundreds of jobs and save \$10 per hour in wages without a harmful drop in quality, then that cost savings can go straight into their budget and the pockets of their C-Suite.

4. Political corruption typically rises with the influence of a multinational corporation.

“The multinational corporations are now developing budgets that are often bigger than medium-sized countries,” said Paddy Ashdown, a British diplomat and politician who served as the leader of the Liberal Democrats for over a decade. “These live in a global space which is largely unregulated, not subject to the rule of law, and in which people may act free of constraint.”

Legal lobbying is a multi-billion dollar industry, even if you were to only take the spending that happens in the United States. According to data published by Open Secrets, the U.S. Chamber of Commerce spent \$94.8 million on lobbying efforts in 2018. The National Association of Realtors spent \$72.8 million, while the Pharmaceutical Research and Manufacturers of America spent \$27.9 million. When you add in the under-the-table deals that happen internationally, corruption occurs because companies have the power of the purse.

5. Multinational corporations can cause harm to the environment.

Most developing countries do not have the same level of regulation and oversight that the developed world maintains to protect the environment. When these firms decide to do business in the international market, they are subject to local laws – not the ones that govern their domestic headquarters – when working to obtain raw materials.

Smaller, less developed governments often trade an increase in revenues for access to their natural resources. The lower standards create better pricing structures for each customer, but it also creates environmental damage that could have future generations paying the price for

today's decisions. Some nations even trade in recycled materials and trash, which can place even more stress on local resources.

6. Profits often go back to the multinational company instead of staying in the local market.

Multinational corporations might provide job opportunities in each local market, but they also funnel out many of the profits back to their centralized office. Some might see this as a return on their infrastructure and educational investments, but it can also be a decision that further weakens an already underperforming government or economy. When you compare how much goes into foreign markets with what comes out of them, the difference is usually minimal and can sometimes be a negative return.

7. Nothing stops a multinational company from importing their skilled labor.

There are even times when a multinational corporation will not hire local workers, opting instead to import positions from the centralized office to get things up and running. This process will still provide contributions to the local economy and provide a handful of jobs that fall outside of this disadvantage, but it tends to benefit the company and the workers more than the local community.

The best jobs, especially the ones which become available in a developing country, are therefore given to someone who may not even live in the local community. That means their wages will not have the same economic impact that they would have if a local employee was in that position.

8. Multinational corporations remove raw materials from the local economy.

Although infrastructure benefits do occur when a multinational corporation moves into a developing country, the construction efforts are usually meant to benefit the business and not the local market. Roads and bridges are built to access raw materials, distribute goods, and manage processes more than they are to improve the livelihood of those living in the region. Once all of

the goods are removed, then the agency might decide to abandon the project, leaving the government with no way to manage the situation.

“Multinational corporations and a market economy have transformed human beings into instruments of making money,” said Satish Kumar. “Human beings should be the end, and money should be the means to the end.”

9. Individual influences are virtually impossible to create with multinational corporations.

Because multinational corporations can sometimes be larger than a nation in terms of size and monetary value, these companies have a lot of influence on global trade. Their presence places the average person out of reach from any decision that could impact their local economy. Even homesteading or “going off-the-grid” requires help from these agencies to create a successful experience.

“The largest 100 corporations hold 25% of the worldwide productive assets, which in turn control 75% of international trade and 98% of all foreign direct investment,” said Peter Drucker. “The multinational corporation... puts the economic decision beyond the effective reach of the political process and its decision-makers, national governments.”

10. It creates a dependency on the business that can be unhealthy for an economy.

Because a multinational corporation can control a majority of the decisions that people make thanks to the size and scope of their structure, their presence can create dependencies that are unhealthy for the local marketplace. Consumers might think that they have choices when shopping, but the reality of their situation is that one company is pulling all of the strings of their transaction. That’s why Zbigniew Brzezinski said that the people, governments, and economies of each country must serve the needs of this entity.

Unilever sells everything from soap to olive oil and has products selling in over 190 countries. Coca-Cola and PepsiCo sell a combination of beverages and snacks that encompass hundreds of

different brands – sometimes competing with each other for the same shelf space. Anheuser-Busch InBev controls a lineup of more than 200 different beer brands. Over 2 billion people use the products from these companies on any given day.

